

Issue of shares at discount – a conundrum created by the Companies Amendment Act 2017

Dr. S N Ghosh¹

Introduction

The Hawley Economic Theory propounds that ‘higher the risk in business, the greater is the potential financial reward for the business owner’. Craver cautions, profit is rewarded to entrepreneur not for bearing the risk but for minimizing and avoiding the risk. Limited Liability Corporations provide the much-needed legal umbrella to the entrepreneur of risk transfer to a separate entity. Be it be, Limited Liability Corporations have thus emerged as the most preferred business model in any dynamic economy. Though the business is set up for profit, erroneous business decisions may lead to failure. Implicitly, business failures are the legitimate outcomes of business operations.

Business failures impact the macro economy of a nation, they do not necessarily warrant closure of the ‘failed’ business. The restructuring and insolvency provisions in the Indian landscape, till 2016, was fragmented across various statutes viz. Companies Act 1956, the Sick Industrial Companies (Special Provisions) Act 1985, the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act 2002 (SARFAESI Act), the Recovery of Debts due to banks and Financial Institutions Act 1993 etc. These legislations were heavily skewed towards ‘the debtor in possession regime’. (Dhir, 2017)

Companies Act 2013 (2013 Act), introduced significant pioneering changes in the Indian companies governance rules and regulations. The accountability, disclosures, investor protection and corporate governance landscape has considerably improved in India under the 2013 Act. However, the insolvency laws were still deficient and did not protect the interest of the creditors. These factors were diluting the entrepreneurial dynamism in the Indian economy. India has one of the lowest credit off takes compared to the size of the economy. The Bankruptcy Law Reforms Committee (2015) noted ‘for many decades, creditors have had low power when faced with

¹ Consultant, DEA-NIFM Research Programme. The views in this Article are personal of the Author.

default. Promoters stay in control of the company even after default. Under these conditions, the recovery rates obtained in India are among the lowest in the world. When default takes place, broadly speaking, lenders seem to recover 20% of the value of debt, on an NPV basis.” (The Bankruptcy Law Reforms Committee, 2015). As on 2012, Insolvency resolution was quickest in Ireland – 4 months, followed by Japan 6 months while in India it took around 7 years (WB, 2018)².

Continuity of ‘viable business’ is one of the important objectives of bankruptcy laws. Researches have established even an entity suffering losses, can still be turned around into a profitable venture. Arvind Mill Ltd., is a classic reminder. A company with an accumulated loss of over ₹ 500 crore was turned around by restructuring the debt of ₹ 2,700 crore.³

The UNCITRAL Legislative Guide on Insolvency Law (UNCITRAL Legislative Guide) has observed that “the bankruptcy laws should draw a balance between the need to address the debtor’s financial difficulty as quickly and efficiently as possible and the interests of the various parties directly concerned with that financial difficulty, principally creditors and other parties with a stake in the debtor’s business, as well as with public policy concerns (UNCITRAL Legislative Guide to Insolvency Law, 2005).

Seized of the consequences of legislative deficiencies in Indian insolvency and bankruptcy laws, the Central Government set up a Bankruptcy Law Reforms Committee to focus on the problems of insolvency and bankruptcy under the Companies Act, 2013. On the recommendations of the Committee, the Insolvency and Bankruptcy Code 2016 (‘Insolvency Code 2016’), was enacted. This ushered Indian insolvency and bankruptcy laws to ‘Creditor in possession’ regime. The Insolvency Code 2016 as a special act, aims to resolve corporate insolvency in a time-bound manner from two perspectives – one, as going concern basis, where feasible; secondly, liquidation of assets if the business can no more be run profitably. It must be noted that both the available routes of insolvency resolutions impact the economic welfare of the concerned jurisdiction. Prudence warrants that an economic balance must be weighed at resolution decision making stage.

² <http://www.doingbusiness.org/reports/global-reports/~media/WBG/DoingBusiness/Documents/Annual-Reports/English/DB12-Chapters/Resolving-Insolvency.pdf>

³ www.businesstoday.in/magazine/cover-story/sanjay-lalbhair-on-truning-arvind-mills-profitable-again/story/186245.html

Economy-specific research has shown that insolvency reforms that encourage debt restructuring and reorganization reduce both failure rates among small and medium-size enterprises and the liquidation of profitable businesses. After Belgium introduced a new bankruptcy law in 1997 that encouraged corporate rehabilitation rather than liquidation, bankruptcies among small and medium-size enterprises fell by 8.4% (Dewaelheyns, 2006). Similar results have been observed in major jurisdictions also. UNCITRAL Legislative Guides has noted that “participants in insolvency proceedings should have strong incentives to achieve maximum value for assets, as this will facilitate higher distributions to creditors as a whole and reduce the burden of insolvency. A balance has to be struck between rapid liquidation and longer-term efforts to reorganize the business that may generate more value for creditors. The Guide advocates that “maximization of value for creditors may be achieved by balancing insolvency law and the reorganisation”.

For any legislation to remain relevant, it must be posited to capture past learnings while also responding to the changing market dynamics, more particularly when the cross-country investments have become a business expediency. Thus, there is an emergent need for each jurisdiction to adopt ‘Next Practices’. Accordingly, Insolvency Code 2016 was enacted in September 2017 and amended in 2018. Appropriate amendments in the 2013 Act were also warranted after the enactment of Insolvency Code 2016. Thus, Companies Amendment Act 2017 was notified in February 2018. Besides other significant amendments, Sec. 53 of the 2013 has been materially amended in line with the legislative intent of Insolvency Code 2016.

It is in this background this paper makes an endeavour to analyse the amended provisions of Sec. 53 of 2013 Act, underlying causative factors, circumstances, concerns and issues involved therein, and by deliberating on the envisaged outcome objectives of insolvency resolution of the corporate debtor, an attempt has been made in this paper to argue whether the new alternatives will stand the litmus test of legal validity. This paper begins with Section I by a revisit to the statutory provisions in the 2013 Act relating to issue of shares at discount and as further liberalized by Companies Amendment Act 2017. Companies Act 1956 was based on the concept of ‘inability pay’, 2013 Act has introduced ‘default’ as the criteria for evaluation of sickness. Sec.4 of the Insolvency Code 2016 has adopted similar concept; interestingly Reserve Bank of India has also now adopted similar concept for evaluating sickness. Section II is an exploration to paradigm shift in the

evaluation criteria and impact thereof. Section III opens with a discussion on the tests of insolvency of the corporate debtor. Two doctrines namely Capital Maintenance and Solvency Test are deliberated exhaustively to analyse how they are grafted into Indian corporate laws. Our discussions are proposed to be further fortified by leading judicial pronouncements. With these background, Section IV proceeds to analyse the theme of this paper – why amendment in Sec. 53 has created a conundrum. Section IV draws conclusions of our deliberations on the amended provisions on issue of shares at discount as insolvency resolution mechanism.

Section I

Issue of Shares at Discount revisited

The title of Sec. 53 of 2013 Act is noteworthy, it is stated as ‘Prohibition on Issue of Shares at Discount’. The liability for the violation by the company as well as officer in default has been significantly increased under 2013 Act. Sub Sec. 2 of Sec. 53 of 2013 Act fortifies the prohibition by mandating that ‘any share issued by a company at a ‘discount⁴ price’ shall be void. Sweat Equity shares may be issued at a discount, which are, however, tied with prescribed restrictions and limitations. Interestingly, Sec. 53 is in complete contradiction to Sec. 79 of the 1956 Act, which *inter alia*, provided that a company may issue shares at a discount on fulfilment of certain mandatory approvals of the shareholders or Tribunal, as the case be. Ramaiya (Ramaiya, 2015) has observed that “where debentures were originally issued at a discount and subsequently converted into equity shares of the same nominal value that will be tantamount to issuing shares at a discount⁵. This will be illegal and void according to the provisions of Sec. 53 of 2013 Act”. Citing *Fammina Development Corpn. Ltd. v. Bury* (1910) AC439 (HL), *Trustees Corporation (India) Ltd. CIT, AIR 1930 PC 151*, Ramaiya observes that the cited ruling is relevant to Sec. 79 of 1956 Act and has to be read in the light of Sec. 53 of the 2013 Act.⁶

It seems Sec 53 of 2013 Act is based on English Companies Act. The English Companies Act 1980 prohibited issue of shares at a discount even with the sanction of the court [Sec. 21 of Companies Act 1980, corresponding to Sec. 100 of Companies Act 1985 (England)]. The new

⁴ Amended as ‘discount’ price from ‘discounted price’ by Amendment Act 2017 effective from 9 February 2018.

⁵ *Trustees Corporation (India) Ltd. v. CIT* AIR 1930 PC 151

⁶ Ramaiya, A, *Guide to the Companies Act* (2015), p. 863

English Companies Act has also continued with similar prohibition. It is further provided that in case where the shares are issued at a discount, the allottee shall be liable to pay an amount equivalent to the discount with interest at appropriate rate.

Companies Amendment Act 2017 seeks, *inter alia*, to further smoothen the corporate insolvency process and help attain the mission of - 'Ease of Doing Business' besides to strengthen corporate governance standards, initiate strict action against defaulting companies, and help improve the ease of conducting business in the country. The Amended law underlines 'A good insolvency regime should inhibit premature liquidation of sustainable businesses'. It encourages debt restructuring and capital reorganization plans as an alternative to bankruptcy proceedings. It makes it easier for corporate debtors to sustain their business as a going concern.

A new sub section 2A has been inserted in Section 53 that provides,

‘Notwithstanding anything contained in subsections (1) and (2), a company may issue shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines, directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act 1949’.

It may be noted that two loan conversion routes have been envisaged in the new provision - one through the Statutory Resolution plan meaning an insolvency resolution plan approved under the Insolvency and Bankruptcy Code 2016. The second mechanism of issuing shares at discount is by conversion of loans (principal as well as unpaid interest) into equity shares under Corporate Debt Restructuring (CDR) Plan under RBI Act, Rules and Regulations, Guidelines, Notifications, Circulars etc. issues thereunder. The point that is asserted here is when the debts are converted into equity shares at discount under the statutory resolution plan, it enjoys the legislative sanction under the Insolvency Code 2016. The issue of shares at discount under the CDR plan, is done by virtue of a notification/direction issued by RBI. Sec. 21, 35A and 35AB of the Banking Regulation Act 1949 empower RBI, in the public interest or in the interest of banking policy, to issue such directions as it deems fit, and the banking companies or the banking company, as the case may be, shall be bound to comply with such directions. Mr. Raghu Ram Rajan, the then Governor of RBI,

said “...borrowers have continuously eroded the sanctity of a debt contract”⁷. In other words, the CDR plan is a modification of a debt contract and does not enjoy any statutory sanction. Banks shall have to implement the directions (including directions related to CDR) issued by RBI from time to time by virtue of Sec. 21, 35A and 35AB of the Banking Regulation Act 1949. It lacks sanction of the court or a competent tribunal, it is a contractual obligation.

Another characteristic is, the newly inserted sub section 2A is a carved-put provision; it is embedded with an inherent safety valve - a non-obstante clause. The scope for issuance of shares at discount supersede sub section 1 and 2 of Section 53. To put it differently, a profit-making company continues to be prohibited to issue shares at a discount. The restricted scope of sub section 2A is obvious and gels well with the Doctrine of Capital Maintenance⁸. Insolvency resolution of a corporate debtor may be effectuated in many manners like further financial assistance by way of loans, advances, guarantees, reliefs, or concessions or sacrifices; conversion of loan into Equity shares at discount is one amongst them. Issue of shares at a discount to the corporate creditors tantamount to sacrifice by the corporate creditor. From RBI perspective, such sacrifice is permitted keeping in view interest of public interest or banking policy.

Section II

Insolvency is ‘default’ or ‘inability to pay’

The term ‘Insolvency’ has not been defined in the Insolvency Code 2016, though the new words (from domestic industry perspective), ‘insolvency professional’ and ‘insolvency professional agency’ have been defined. Colloquially, the term is understood as the inability of a person⁹ to his dues when it is due for payment¹⁰. It is also known as the “state (condition) of one who has not property sufficient for the full payment of his debts” (Wharton's, 2013). Insolvency is the process with an interim stage which one undergoes to attain revival; and where may not be viably revived, the entity is wound up. In trade parlance, bankruptcy is used mostly in personal insolvency proceedings, and where the revival is ruled out, the person is declared bankrupt.

⁷ Banks get RBI approval to take control if debt restructuring fails, Mint, Jun 09 2015 (<http://www.livemint.com/Politics/jGF5TY29ZX0uDZezJxo8LO/RBI-allows-banks-to-take-control-if-debt-restructuring-fails.html>)

⁸ See discussion in Section III of this paper

⁹ Has a capacity to contract, thus includes corporates – artificial person

¹⁰ It is mandated to prepare the books of account on ‘Accrual system of Accounting’

Black's Law Dictionary has defined insolvency as the "condition of a person who is insolvent; inability to pay one's debts; lack of means to pay one's debts. Such a relative condition of a man's assets and liabilities that the former, if all made immediately available would not be sufficient to discharge the latter. Or the condition of a person who is unable to pay his debts as they fall due, or in the usual course trade and business".

The UNCITRAL Legislative Guide (UNCITRAL Legislative Guide to Insolvency Law, 2005) defines insolvency as 'when a debtor is generally unable to pay its debts as they mature or when its liabilities exceed the value of its assets'¹¹.

Article 1 of the Uniform Commercial Code (US) defines the term 'insolvency' as "(a) having generally ceased to pay debts in the ordinary course of business other than as a result of bona fide dispute; (b) being unable to pay debts as they become due ; or (c) being insolvent within the meaning of federal bankruptcy law¹². Sec. 101 (32) of the US Bankruptcy Code defines 'insolvent' as "financial condition which that the sum of the person's debts is greater than all off such person's property, at a fair valuation".

In UK in the First Group of Part of the UK Insolvency Act (UK, 1986), insolvency in relation to a company has been defined as to "include the approval of a voluntary arrangement under Part I or the appointment of an administrator or administrator receiver". It may be observed that the definition does not bring out purpose and importance of insolvency. Attention is drawn to Sec. 268 (1) (a) of the UK Insolvency Act, *inter alia*, says 'the debtor appears to be *unable to pay a debt*¹³ if, but only if, the debt is payable immediately and either (a) the petitioning creditor to whom the debt is owed has served on the debtor a demand (known as " the statutory demand ") in the prescribed form requiring him to pay the debt or to secure or compound for it to the satisfaction of the creditor, at least 3 weeks have elapsed since the demand was served and the demand has been neither complied with nor set aside in accordance with the rules (UK, 1986). Insolvency in English law is a deeming provision. "A *Company is insolvent when it is unable to pay its debts*¹⁴. The

¹¹ P. 2 (s)

¹² <https://www.law.cornell.edu/ucc/1>

¹³ emphasis added

¹⁴ emphasis added

concept is simple enough but as well shall see there is more than one test of inability to pay debts and in marginal cases it may be far from easy to determine whether the test is satisfied as at the relevant time. Insolvency as such is not a condition to which legal consequences attach. These occur only after there has been some formal proceeding, such as winding up or the appointment of an administrator. Thus, it is neither a criminal offence nor a civil wrong for a company to become insolvent or even to trade while insolvent” (Goode, 1997).

Singapore has adopted in the UNCITRAL Model laws. In Australia, Sec. 9 read with Sec. 95A of the Corporation Act 2001¹⁵ defines ‘solvent’ and ‘insolvent’ as under:

“95A Solvency and insolvency

- 1) A person is solvent if, and only if, the person is able to pay all the person’s debts, as and when they become due and payable.
- 2) A person who is not solvent is insolvent”.

In the Indian context, the Committee on Bankruptcy Reforms has elaborately deliberated when a person is considered ‘insolvent’. It says, “Creditors put money into debt investments today in return for the promise of fixed future cash flows. But the returns expected on these investments are still uncertain because at the time of repayment, the seller (debtor) may make repayments as promised, or he may default and does not make the payment. When this happens, the debtor is considered insolvent. Other than cases of outright fraud, *the debtor may be insolvent*¹⁶ because of

- Financial failure – a persistent mismatch between payments by the enterprise and receivables into the enterprise, even though the business model is generating revenues, or
- Business failure – which is a breakdown in the business model of the enterprise, and it is unable to generate sufficient revenues to meet payments.

Often, an enterprise may be a successful business model while still failing to repay its creditors. A sound bankruptcy process is one that helps creditors and debtors realise and agree on whether the

¹⁵ Corporations Act 2001 Act No. 50 of 2001 as amended (www.legislation.gov.au)

¹⁶ Emphasis added

entity is facing financial failure and business failure. This is important to allow both parties to realise the maximum value of the business in the insolvency.” (Committee, 2015).

Sec 4(1) of the Insolvency Code 2016 says, “this Part (Part II) shall apply to matters relating to the insolvency and liquidation of corporate debtors where the minimum amount of the ‘default’ is ₹ 1 Lakh. The Central Government may however, by notification, specify the minimum amount of default of higher value which shall not be more than ₹ 1Cr”. In the case of individuals and partnership firms, the amount of ‘default’ is ₹ 1,000. The Central Government has further been empowered to notify the minimum amount of default of higher value which shall not be more than ₹ 1Lakh (Sec. 78 of Insolvency Code 2016). The rules and regulations issued under the Insolvency Code 2016 also use the term ‘default’. Thus, it appears that in determining insolvency, the term ‘default’ has been used.

The Hon’ble Supreme Court explained the objective of the term ‘default’ in the Insolvency Code 2016 as, “Default is defined in section 3(12) in very wide terms as meaning non-payment of a debt once it becomes due and payable, which includes non-payment of even part thereof or an instalment amount. As per section 3(11) debt means a liability of obligation in respect of a 'claim' and 'claim' is defined in section 3(6) to mean a right to payment even if it is disputed. The IBC gets triggered the moment default is of rupees one lakh or more (Section 4)”¹⁷.

Insolvency Code though does not specifically define ‘insolvency’, it appears that the Committee on Bankruptcy Law Reforms has linked ‘insolvency’ with ‘default’. Default has been defined in sub section 12 of Sec. 2 of the Insolvency Code 2016 as “non-payment of debt when whole or any part or instalment of the amount of debt has become due and payable and is not repaid by the debtor or the corporate debtor, as the case may be.”

Kothari says, “Choosing ‘rather than ‘inability to pay’ does not mean the key ingredient of insolvency becomes irrelevant¹⁸. Default occurs because of inability. Therefore, default must be

¹⁷ [2017] 84 taxmann.com 320 (SC)/[2017] 140 CLA 39 (SC)/[2017] 143 SCL 625 (SC)/[2017] 4 COMP. LJ 193 (SC)/[2017] 205 COMP CASE 57 (SC)

¹⁸ **Note:** One may argue that every default of payment does not mean ‘inability to pay’. Wilful defaulter is the case in hand. That be aside, for the restricted scope of this paper, ‘default’ and ‘insolvency’ carry similar intent and objectives in line with the views of the Committee on Reforms in Bankruptcy laws.

used only as an indicator and not decision of the state of insolvency. It is notable that UNCITRAL Guide refers to cessation of payments which implies a series of defaults. UK laws continue to refer to inability to pay, in a language very similar to that of (Indian) Companies Act 1956. Therefore, when the lawmakers intended to shift the test of insolvency from inability to pay to failure, they are only trying to pragmatic so as to try and treat insolvency based on the first indications thereof – that is, default”. (Kothari, 2017). Even Sec. 253 (since omitted¹⁹) relating to determination of sickness for Revival and rehabilitation of sick companies ‘failed to pay’ was the criteria for determining sickness of an entity.

The term ‘Bankruptcy’ has been explained as the state or condition of one who is bankrupt; amenability to the bankrupt laws; the condition of one who has committed an act of bankruptcy and is liable to be proceeded against by his creditors therefor or of one whose circumstances are such that he is entitled on his voluntary application, to take the benefit of the bankrupt laws²⁰. Bankruptcy refers to proceedings of which bankruptcy was the principal subject matter and does not include a property claim brought by a trustee in assets vested in him; and that accordingly, the proceedings were not excluded.²¹

The UK Insolvency Act makes a distinction between ‘insolvency’ and ‘bankruptcy’; the second Group of Parts deals with insolvency and bankruptcy of individuals; and non-resolution of an insolvency process has been referred in bankruptcy.

In short, we may say insolvency refers to a financial condition of negative net worth or erosion of net worth or financial illiquidity of a debtor due to which the debtor is unable to pay its debts. In contrast, bankruptcy is an outcome of legal procedure which is set in motion by an application to the relevant court/tribunal by the specified person(s). Our contention is further fortified by the stages of insolvency process detailed in Sec. 2 (Application) of the Insolvency Code 2016, that says, “the provisions of this Code shall apply to..... in relation to their insolvency, liquidation, voluntary liquidation or bankruptcy, as the case may be.

¹⁹ Omitted by Insolvency and Bankruptcy Code, 2016., Dated 15th November, 2016

²⁰ Black’s Law Dictionary, citing *Philips vs. Harding*, 70 Fed. 468

²¹ Wharton’s Law Dictionary, citing *Ashurst v. Pollard* (2000) 1 WLR 722

Section III

Tests of Insolvency

The commonly used standards for commencement of insolvency proceedings and the tests thereto have been comprehensively discussed in the UNCITRAL Model laws. It says, that most common of these tests are (a) Liquidity test and (b) the balance sheet test. A standard that is used extensively for commencement of insolvency proceedings is what is variously known as the liquidity, cash flow or general cessation of payments tests. This test does not find favour of the UNCITRAL Model Laws, as in an intense competitive market environment, the market participants may “accept ever-lower profits or even losses on a temporary basis in order to become competitive and maintain or gain market share.” (UNCITRAL, 2005). The balance sheet is based on excess of liabilities as an indication of financial distress. UNCITRAL Model laws point out in normal circumstances, it is rarely possible to map the financial distress of the defaulting corporate debtor as all the underlying information to the balance sheet is under the control of the entity “until after its difficulties have become a settled and often irreversible fact and thus it may not easily form the basis for a creditor application”. Reliability, accounting and valuation adventures are also areas of serious concern for applying this test.

The balance sheet test is predominantly based on ‘Capital Maintenance doctrine’. Under this doctrine, the capital of a company which is contributed by its member is an ‘inviolable fund’ which shall be kept for the benefit of its creditors. This success of this doctrine is dependent on statutory provisions relating to creditors’ protection in that country, their enforceability and approach of the courts in permitting exceptions to this doctrine i.e. reduction of capital or buyback of shares etc. In *Re Grosvenor Press Plc*, a company proposed to cancel capital that was lost. As the company could not prove that the loss of capital was permanent, it gave an undertaking to the court that a special reserve would be set up if any of the lost capital was recovered which would not be available for distribution until creditors existing at the date when the reduction became effective have been paid off. Nourse J approved the reduction, stating that the “statutory procedures which allow for its reduction demonstrate that there is no status of inviolability attaching to a company's capital”.²² Therefore, the courts’ concern is ensuring the protection of the interests of the creditors in the most appropriate manner as per the existing statutes. Wee says, “it is a gloss to state that

²² [1985]1 WLR

the doctrine requires a company to retain assets equivalent to its subscribed capital without explaining in close proximity that the statement is subject to qualifications”. (Wee, 2007) This doctrine will hold good when even after the transaction, the company will have (generate) adequate surplus which in aggregate, will be adequate to cover the capital proposed to be repaid (like in case of buyback of shares); failing which it will amount to ‘erosion of capital’.

Several Commonwealth jurisdictions have acted to relax the restrictions imposed by the capital maintenance doctrine including Australia and Singapore (Wee, 2007). Some jurisdictions are applying ‘solvency tests’ based on balance sheets and cash-flow statements of the entity. It tests whether after the transaction, the entity will remain creditworthy and solvent. It is based on the premise that the creditors’ claims rank in priority of the members of the company. The ranking will get inverted in the case of an insolvent company.

In short, we say, the doctrine of capital maintenance and solvency tests are based on different propositions. While the former is based on protecting the subscribed capital of the company, the later permits return of the capital if it may be evidenced (by appropriate mechanisms) that the company will remain solvent even after the transaction.

The Bankruptcy Law Reforms Committee in its report has thus, made the following observations: “In most other jurisdictions, the trigger to start insolvency resolution procedures against an entity requires evidence that is based on a test of insolvency. The outcome of the tests are taken by the adjudicating authority as evidence to consider the entity to be insolvent”.

The Committee observes that “there is no standardised, indisputable way to establish insolvency. Several jurisdictions have balance sheet tests as one element to determine insolvency. Another is the presentation of reasoned arguments for why the entity should be considered insolvent. These too are based on performance in balance sheets and cash-flow statements of the entity. The balance sheet test is vulnerable to the quality of accounting standards. India suffers from having both a low average standard of accounting quality as well a wide variation across single entities. Therefore, the Code does not prescribe fixed balance sheet variables or parameters as critical to triggering insolvency” (Committee, 2015).

Section IV

Confusion compounded by Sec. 53 of 2013 Act

The recent amendment in Sec. 53 of the 2013 Act by insertion of sub Sec. 2A²³ has envisaged two routes of by conversion of debt by issuing shares at discount of the debtor company. This has created a conundrum in its application as also from legal perspective. While the first one is pursuant to a statutory sanction, the second one is an effectuation of a binding legal obligation. In the following paragraphs, the author argues that even the underlying principles of such conversion are different. The first one is governed by the doctrine of Capital Maintenance whereas the underlying principle for the second route is solvency test and other tests prescribed by the regulator of the corporate creditor. Given the intent and posit of Insolvency Code 2016, judicial pronouncements as well as the international practices, for both the conversion routes are deliberated in this section.

As deliberated in the preceding section of this article, sub section 2A of Sec. 53 is a carved-out section. It begins saying “Notwithstanding anything contained in sub-sections (1) and (2)..”. Sub section 1 prohibits issue of shares at discount and sub section 2 is a penal provision for violation of the mandate of this section. In other words, to the extent of conversion of debt into shares at discount pursuant to sub section 2A, the transaction will not be visited by any penalties²⁴. Two routes for conversion are envisaged, - (i) pursuance of any statutory resolution plan; (ii) debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

For the sake of clarity in appreciating the arguments, the options envisaged in the sub section are deliberated and argued separately, as follows:

²³ The Companies (Amendment) Act, 2017, Amendment effective from 09th February 2018

²⁴ See Note 6

(i) Issue of shares at discount pursuant to a Statutory Resolution Plan

After the enactment of the Insolvency Code 2016, the Resolution Plan may be sanctioned by the Adjudicating Authority prescribed under the Insolvency Code 2016. In case of any dispute, the Insolvency Code 2016 has also prescribed various judicial forums for dispute resolution. The objective of such statutory resolution plan is to “protect and maximize value for the benefit of all interested parties and the economy in general” (IMF, 1999) . Besides, as because Insolvency Code 2016 is based on UNCITRAL Model Laws (Legislative Guide on Insolvency Law), the resolution plan sanctioned under the Insolvency Code 2016 is also in consonance with the Recommendations 1 to 5 of the said UNCITRAL Model laws. The other market regulators namely, SEBI and RBI have also notified exemptions from compliances under their respective regulations where a resolution plan is sanctioned under the Insolvency Code 2016.

Explaining the objectives of the Insolvency Code 2016, the Hon’ble Supreme Court said, “One of the important objectives of the Insolvency and Bankruptcy Code, 2016 is to bring the insolvency law in India under a single unified umbrella with the object of speeding up of the insolvency process”²⁵. “Insolvency and Bankruptcy Code, 2016, has been enacted, consolidating various enactments, such as, Sick Industrial Companies (Special Provisions) Act, 1985; the Recovery of Debts Due to the Banks and Financial Institutions Act, 1993; the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002; Companies Act, 2003; Insolvency and Bankruptcy law and other laws.As per section 238, provisions of the Code shall have the effect, notwithstanding anything inconsistent therewith, contained in any other law, for the time being in force or any instrument, has effect, by virtue of such power²⁶”. In another case, it was held that “in view of Section 14 of the IB Code, all the proceedings pending before any other forum including the Debt Recovery Tribunal and City Civil Court will be stayed, if the Application is admitted”²⁷. In so far as the overriding effect of Insolvency Code 2016 on the decision of SEBI is concerned, the Hon’ble Tribunal delineated the areas of judicial jurisdiction and said, “On perusal of section 238, it is evident that overriding effect under section 238 will have over other laws, only when the other laws are inconsistent with the Insolvency and Bankruptcy

²⁵ [2017] 84 taxmann.com 320 (SC)/[2017] 140 CLA 39 (SC)/[2017] 143 SCL 625 (SC)/[2017] 4 COMP. LJ 193 (SC)/[2017] 205 COMP CASE 57 (SC)

²⁶ [2017] 88 taxmann.com 84 (Madras)/ [2018] 145 SCL 375 (Madras)

²⁷ [2017] 86 taxmann.com 102 (NCLT - Ahd.)

code, since SEBI Act has been dealing with investor protection issues, not with creditor and debtor issues, though section 238 has exhaustive mode in respect of the subject matter of creditor and debtor issues, it has no overlapping or overriding effect over investor protection issues dealt with under SEBI Act”²⁸. In short, the Insolvency Code 2016 being a special enactment to deal with insolvency related issues, the courts have upheld its overriding authority.

We now test the conversion of debt into shares at discount from implication of Capital Maintenance doctrine perspective. We discussed that the company’s capital is an ‘inviolable fund’ which must be protected all times for the benefit of the creditors. However, these days’ businesses can no more be run by the shareholders capital alone. Business transactions have undergone paradigm shift, rendering the protection afforded by the conditions of capital maintenance doctrine insufficient to meet modern needs. A business needs funds from creditors as well including trade creditors. The creditors are exposed to the business risks of the borrowing entity. The issue involved here is ‘whether the company is free to part with its assets, even though the value of the company’s remaining assets will then be less than that stated in its balance sheet as the value of its capital. Such a rule could hardly be applied to all corporate transactions, since the danger would be that, once a company’s assets fell below the value of its capital, it would have to cease trading (Davies', 2003) ²⁹. It is therefore imperative to preserve their invested capital. Thus, it is vital to provide legislative assurance to the creditors that their funds will not be adversely impacted due to business vicissitude and also misappropriated fraudulently.

A dynamic and more practical business-oriented approach to this principle has been enunciated in the famous Hoffman J. in *Aveling Barford Ltd. v. Perion Ltd*³⁰. that says, ‘a company cannot, without the leave of the court or the adoption of a special procedure, return its capital to its shareholders. It follows that a transaction which amounts to an unauthorized return of capital is *ultra vires* and cannot be validated by shareholder ratification or approval.’ It thus follows, if the law permits, a company may issue shares at discount, with the consent of the court. We argue to say similar provision existed in the CA 1956. That also explains the reason why only a profit-making company is permitted to make buyback of its shares and also create a Capital Redemption

²⁸ [2017] 84 taxmann.com 315 (NCLT - Mum.)

²⁹ Capital Maintenance, Chapter 12, p241 (seventh edition)

³⁰ (1989) 1 W. L. R. 360

Reserve out of its free reserves and a certificate to that effect is given by the statutory auditor of the company.

We conclude to say, conversion of debt into shares at discount is an exception to the doctrine of capital maintenance and being that so, may be permitted only with the prior sanction of the court. The first part of sub section 2A permits such conversion which is sanctioned as a resolution plan by a tribunal on the basis of fairness, equity and justice to all the concerned parties.

(ii) Issue of shares at discount pursuant to Debt Restructuring Scheme in accordance with any guidelines or directions or regulations specified by RBI under the RBI Act, 1934 or BR Act, 1949³¹

Sec. 58 of the RBI Act 1934 read with Sec. 21, 35A and 35AB of the Banking Regulation Act 1949 *inter alia*, empower Reserve Bank of India (RBI) on being satisfied that (a) in the public interest; or (aa) in the interest of banking policy may issue directions, as it may deem fit, from time to time, and the banking companies or the banking company, as the case may be, shall be bound to comply with such directions.

RBI has been issuing various directions/guidelines (RBI, Framework for Revitalising Distressed Assets in the Economy – Guidelines on Joint Lenders’ Forum (JLF) and Corrective Action Plan (CAP), 2014, Feb)³² to Lenders³³ for revival and rehabilitation of sick companies. On Feb. 26, 2014 RBI issued ‘Framework for Revitalising Distressed Assets in the Economy – Guidelines on Joint Lenders’ Forum (JLF) and Corrective Action Plan (CAP). These directions/guidelines were harmonised and simplified and revised as ‘Strategic Debt Restructuring Scheme’ in June 2015. (RBI, Strategic Debt Restructuring Scheme, 2015, June)³⁴. Further, in view of the enactment of the Insolvency Code, 2016 (IBC), RBI decided to substitute its previous directions on the resolution of stressed assets by a fresh direction in Feb. 2018 (RBI, Resolution of Stressed Assets

³¹ RBI – Reserve Bank of India; BRA – Banking Regulation Act

³² RBI/2013-14/503 DBOD.BP.BC.No.97/ 21.04.132 / 2013-14 February 26, 2014

³³ Lenders under these guidelines would generally include all scheduled commercial banks (excluding RRBs) and All India Financial Institutions, unless specified otherwise.

³⁴ RBI/2014-15/627 DBR.BP.BC.No.101/21.04.132/2014-15 June 8, 2015

– Revised Framework, 2018, Feb)³⁵. RBI mandated that the general principle of restructuring should be that ‘the shareholders bear the first loss rather than the debt holders’.

With this principle in view and also to ensure more ‘*skin in the game*³⁶’ of promoters, RBI has proposed few options to the JLF/Corporate Debt Restructuring Cell (CDR) for restructuring the loan. Some of the important directions, to the restricted objective of this paper, are summarised below:

- Lenders¹ shall identify incipient stress in loan accounts, immediately on ‘default³⁷’, by classifying stressed assets as special mention accounts (SMA) and classify them into SMA-0, SMA-1 and SMA-2, as prescribed.
- ‘the restructuring package should also stipulate the timeline during which certain *viability milestones* (e.g. improvement in certain financial ratios after a period of time, say, 6 months or 1 year and so on) would be achieved.
- The JLF must *periodically review the account for achievement/non-achievement of milestones* and should consider initiating suitable measures including recovery measures as deemed appropriate.
- *Banks may, at their discretion, undertake a ‘Strategic Debt Restructuring (SDR)’ by converting loan dues to equity shares, which will have the following (prescribed) features.*
- This should be supported by necessary approvals/authorisations (including special resolution by the shareholders) from the borrower company, as required under extant laws/regulations, to enable the lenders to exercise the said option effectively.
- *Restructuring of loans without the said approvals/authorisations for SDR is not permitted.*
- *Banks should include necessary covenants in all loan agreements, to enable invocation of SDR in applicable cases.*

³⁵ RBI/2017-18/131DBR.No.BP.BC.101/21.04.048/2017-18 February 12, 2018

³⁶ Note: emphasis have been added by the Author

³⁷ ‘Default’ means non-payment of debt when whole or any part or instalment of the amount of debt has become due and payable and is not repaid by the debtor or the corporate debtor, as the case may be. For revolving facilities like cash credit, default would also mean, without prejudice to the above, the outstanding balance remaining continuously in excess of the sanctioned limit or drawing power, whichever is lower, for more than 30 days. **Note:** The definition of ‘default’ has now been aligned with Insolvency Code 2016.

- Conversion of outstanding debt (principal as well as unpaid interest) into equity instruments should be at a 'Fair Value'³⁸, which will not exceed the lowest of the two, subject to the floor of 'Face Value' (*restriction under section 53 of the Companies Act, 2013*)- a) Market value (for listed companies); b) Break-up value. The pricing formula has been exempted under SEBI (Issue of Capital and Disclosure Requirements) Regulations 2015.
- Equity shares acquired and held by banks under the scheme shall be exempt from the requirement of periodic mark-to-market for 18 months.
- As the lender acquires such voting power in the borrower entity in satisfaction of its advances under the SDR, and the rights exercised by the lenders are more protective in nature and not participative, such investment may not be treated as investment in associates (under the 2013 Act).

From the perusal of the above, it is explicitly clear that the underlying principle of directions issued by RBI is that matrix for conversion of debt into shares at discount of a corporate debtor is based on 'Solvency Test'. It is a test based on certain pre-determined evaluation parameters fixed by the corporate creditor, *without sanction of the court*.³⁹ It is thus, based on opinions with an element of subjectiveness, which fact cannot be refuted. Also, is the fact that this conversion is by virtue of a loan covenant – a contractual obligation⁴⁰.

The right to the performance of a contract is a positive one. If someone owes some money to me is positive one. In the case of positive rights, the person subject to the duty is bound to do something. The satisfaction of the positive rights results in the betterment of the position of the owner (Mahajan, 2017). In *Re: Shalby Ltd.*, it was held insolvency process is a right *in rem*. The tribunal said, "Argument of learned senior counsel for the corporate debtor that Insolvency Resolution Process is not a right *in rem* and it is only against a particular person do not merit acceptance. Even in Corporate Insolvency Process the claims of all the creditors should be taken into consideration

³⁸ Reg. 35 of Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016 (as amended on 6 Feb., 2018) providing for determination of 'Fair value' and 'Liquidation value', computed in accordance with internationally accepted valuation standards, by two registered valuers. the average of the two closest estimates of a value shall be considered the fair value or the liquidation value, as the case may be

³⁹ RBI in the instant case being the regulator and bank are mandated to comply with RBI direction as bank hold 'licence' issued and regulated by RBI Act and Banking Regulation Act, discussed above.

⁴⁰ As also asserted by the then Governor of RBI

by Resolution Professional and resolution plan will be prepared taking into consideration the value of the debts, assets of the company, the nature of business of the company etc.⁴¹

Even if for the sake of argument, it is admitted that a corporate debtor may convert its debts into shares at discount by virtue of the contractual covenants mentioned in the loan agreement with the Lenders⁴², it does not override the provisions of other applicable laws⁴³ in the instant case. In other words, the corporate debtor in order to issue shares at discount upon conversion has to comply with Sec. 62 of the 2013 Act relating to ‘Further issue of shares’.

Sub section 3 of Sec. 62 confuses the issue further. It provides,

“Nothing in this section shall apply to the increase of the subscribed capital of a company caused by the exercise of an option as a term attached to the debentures issued or loan raised by the company to convert such debentures or loans into shares in the company.

Provided that the terms of issue of such debentures or loan containing such an option have been approved before the issue of such debentures or the raising of loan by a special resolution passed by the company in general meeting”.

The exception contemplated by this sub section for further issue of shares is when the fresh shares are proposed to be issued at par value or at premium. Ramaiya (Ramaiya, 2015)⁴⁴ contends that conversion of loan into shares at discount, however, small and insignificant discount might be, that will tantamount to issuing of shares at discount that is prohibited by Sec. 53 of the 2013 Act.⁴⁵ There is rider to this sub section, the terms of loan containing the conversion option, shall also be approved by a special resolution.

In short, we conclude to say due to incoherency in both routes and correspondingly the underlying doctrines, both the routes do not provide the intended objective of insolvency resolution plan. The insolvency resolution plan by conversion of debt by issue of shares at discount under RBI Strategic

⁴¹ [2018] 90 taxmann.com 7 (NCLT - Ahd.)

⁴² See Note 28, *supra*

⁴³ The directions/guidelines issued by RBI from time to time are binding on the Lenders only and not on the corporate debtor. There is no contractual obligation between the two.

⁴⁴ p. 1197

⁴⁵ See Note 6 also.

Debt Restructuring Scheme etc. will hit a legal bottleneck, as more elaborately discussed above. Sub section 2A carves out exception only with regard to the applicability of sub section 1 and 2 of Sec. 53. The statutory resolution plan (under Insolvency Code 2016) of conversion of debt by issue of shares at discount supersedes all other applicable laws including 2013 Act by virtue of Sec. 238 of the Insolvency Code 2016. This is not the case of conversion of debt by issue of shares at discount under RBI Act, BR Act, and Regulations, Notifications, Circulars etc. issued thereunder. Possibility cannot be ruled out where a corporate debtor avails of RBI scheme, may go for forum shopping, the moment the scheme hits a road block.

Section V

Conclusion

Sec 53 of 2013 prohibits issue of shares at discount. It is in this backdrop, the deliberations in this paper are restricted to impact analysis of insertion of sub section 2A in Sec. 53 by the Companies Amendment Act 2017. The clearest theme of amendment appears to make the insolvency process in India more market-centric with ‘Ease of Doing Business’.

Sub section 2A is a carved-out provision superseding sub section 1 and 2 of Sec. 53 of the 2013 Act. Companies have been permitted to convert their debts by issue of shares at discount. Two routes of conversion have been envisaged in the Companies Amendment Act 2017. Firstly, under the ‘Statutory resolution plan’. The alternative route is ‘debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949’.

By indulging in deep and all-pervasive research of the related areas, this paper has established that there is doctrinal incoherence in both the routes of insolvency resolution envisaged in the Companies Amendment Act 2017. The route of statutory resolution plan is based on the doctrine of Capital Maintenance whereas the other alternative route is based on Solvency Test. Sec. 231, 233 read with 238 of the Insolvency Code 2016 provides statutory sanction as well as superiority to the Insolvency Plans sanctioned under the said code. There is bar on jurisdiction of courts. The appeal would lie to Supreme Court under Sec. 62 on a ‘question of law’.

The alternate route of conversion of debts by issue of shares at discount under debt restructuring scheme under RBI Act or Banking (Regulation) Act does not appear to be enjoined with similar legislative sanction and superiority. Where a corporate debtor adopts this route, the author has argued that such issue of shares will attract prohibitory provisions of Sec. 53 and consequential penal provisions of 2013 Act. As because debt restructuring scheme does not enjoy the legislative superiority, the debtor company undertaking this transaction shall also have to comply with the onerous provisions of 2013 Act relating to further issue of shares (Sec. 62). The terms and conditions containing the conversion clause (issue of shares 'at par') will also require special resolution of the shareholders of that company. The Author apprehends this route may encourage 'forum shopping'. This alternative route thus, being complex, onerous and may not achieve the desired outcome-objective, the author holds the view, hence, may be deleted.

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